

SOME PRACTICAL ADVICE

MAYBE I'D DRIFTED OFF COURSE. I HADN'T COME TO THE library to study history. I'd come to study how to make money, and the helpful how-to books on the subject took up three aisles. I flipped through these books one after another, ignoring specific suggestions to buy this or sell that, trying to concentrate on the general principles of investing. These were the basic rules, learned after decades of painful trial and error, that various experts were kind enough to pass along.

The first book I grabbed was Gerald Loeb's *Battle for Investment Survival*. It was published after the Correction of 1929 and is regularly updated. Mr. Loeb's book is known as the average investor's Bible, and all the more believable since Mr. Loeb is reputed to have made millions in the market himself.

In the late 1960s, I met Mr. Loeb in person and regret that I didn't have the sense to pick his brains back then. That was during the period when some of us didn't yet realize we wanted to get rich, and shunned the friendly help that was often available. Now, 20 years later, I was forced to seek out Mr. Loeb's counsel second-hand in the library. It was a sad situation, but I consoled myself that Mr. Loeb wouldn't have told me anything in private that he hasn't told millions of readers in public.

Mr. Loeb can't overemphasize the importance of making just one investment at a time and then living with it. "The greatest safety lies in putting all your eggs in one basket and then watching the basket," he says. He opens his book with this rule and then devotes many pages to its support, with example after example of irrefutable evidence. According to him, most average investors foolishly try to diversify their holdings and spread their money